

RELIANCE-DISNEY DEAL

A Behemoth is Born

The merger between the media business of Reliance Industries and The Walt Disney Company's India entities has created a new giant in the entertainment space

BY VIDYA S.

► **BILLIONAIRE MUKESH AMBANI'S** Reliance Industries Ltd. (RIL) and The Walt Disney Company have agreed to merge their digital streaming and television assets in India, creating an \$8.5-billion media behemoth spanning at least 100 channels across entertainment and sports, and two digital streaming platforms. The entity also has exclusive rights to sporting events like the Indian Premier League (IPL) and Disney films and productions in India, as well as a diverse international con-

tent library.

The former rivals, who were locked in an intense battle over IPL rights until recently, have agreed to form a joint venture (JV) that will solidify RIL's position in the Indian M&E space and reduce Disney's presence in the country amid intense competition.

This JV between RIL, its broadcast division Viacom 18 and Disney will bring together TV channels such as Colors, StarPlus, StarGOLD, Star Sports and Sports18 as well as

streaming apps JioCinema and Disney+ Hotstar. The deal will combine the businesses of Viacom18 and Star India, where the media undertaking of Viacom18 will be merged into Star India Private Limited. The JV will be controlled by RIL. Under the terms of the deal, RIL will own 16.34%, Viacom18 will own 46.82%, while Disney's share will be 36.84%. Disney may also contribute certain additional media assets to the JV, subject to regulatory and third-party approvals. RIL will invest ₹11,500 crore

22 |

